In 1997 Nawaz Sharif was back in as prime minister. This time he had the constitution amended so the president could no longer sack the prime minister and took other steps to consolidate power. Critics saw his moves as an attempt to become a civilian dictator. Nawaz continued the policy of backing the Taliban and, like Benazir, tried to persuade the United States that they were the best of a bad lot.

In early 1998 Sharif's government arranged for a visit to Kabul by the U.S. ambassador to the United Nations, Bill Richardson. This would be the only high-level, face-to-face American exchange with the Taliban before 9/11. Sharif hoped the exchange would lead to U.S. recognition of the Taliban government in Kabul. As explained later in the chapter, the talks completely failed to put to rest American concerns about Osama bin Laden.

The defining events in Sharif's second term involved India. On May 11, 1998, India tested several nuclear weapons. Sharif faced enormous domestic pressure to test Pakistan's weapons in turn, even though this would lead to international sanctions. He decided to appease his audience within Pakistan and tested. While bin Laden publicly congratulated Pakistan for doing so, others moved to isolate it more than ever.

Despite the tensions created by multiple nuclear tests in the subcontinent, Sharif hosted a historic visit to Lahore by India's prime minister Atal Vajpayee in 1999. The two signed the Lahore Declaration pledging to seek to resolve their long-standing differences. One Pakistani official conspicuously absent from the events was Sharif's new chief of army staff, General Pervez Musharraf, handpicked over more senior officers after his predecessor was fired for criticizing the leadership and arguing that the military should have only a constitutional role in governing the country. A thoughtful and competent man, General Jehangir Karamat accepted his dismissal, but many in the officer corps were angered and felt humiliated by Sharif's move. As mentioned earlier, the choice of Musharraf was based on his apparent loyalty and lack of connection with the Punjab establishment but would prove to be as bad as Zulfikar Ali Bhutto's choice of Zia ul-Haq.

After being promoted, Musharraf turned his attention to an ambitious plan for a showdown with India, which was put in motion just as the prime minister was hosting the Lahore Summit. For years, the Pakistani army had contemplated a limited military offensive in Kashmir